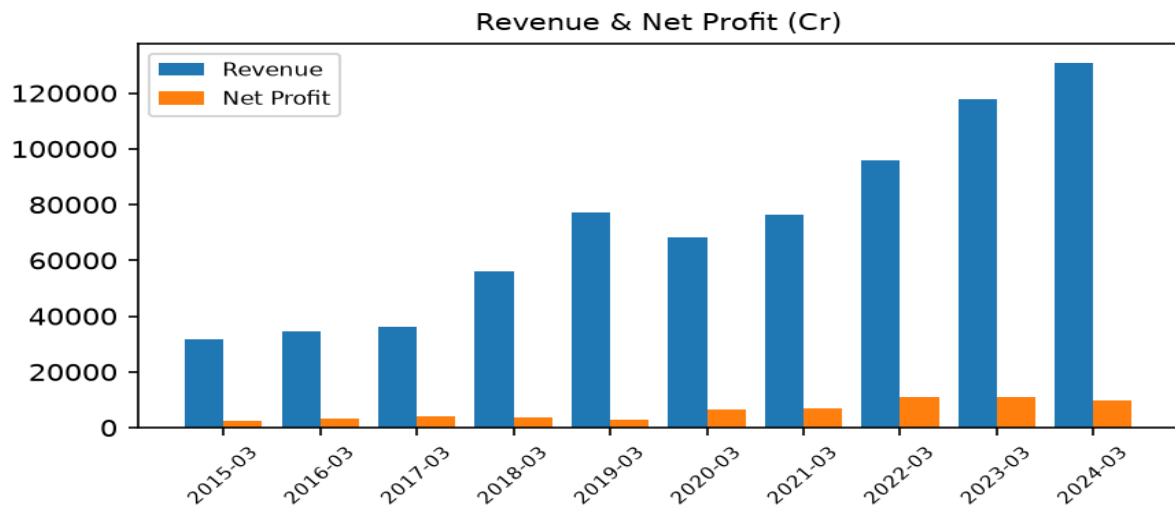


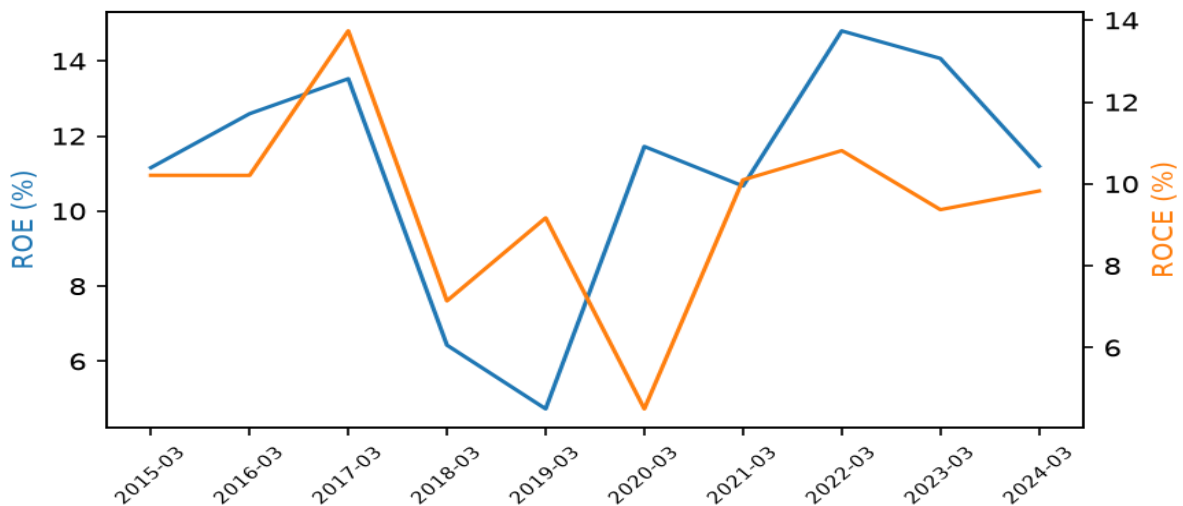
Grasim Industries Ltd (GRASIM)

ROE 11.2%	ROCE 9.8%	Net Profit Margin 7.6%
D/E 1.5	Revenue CAGR 5yr 11.2%	Free Cash Flow (Cr) -33833.0

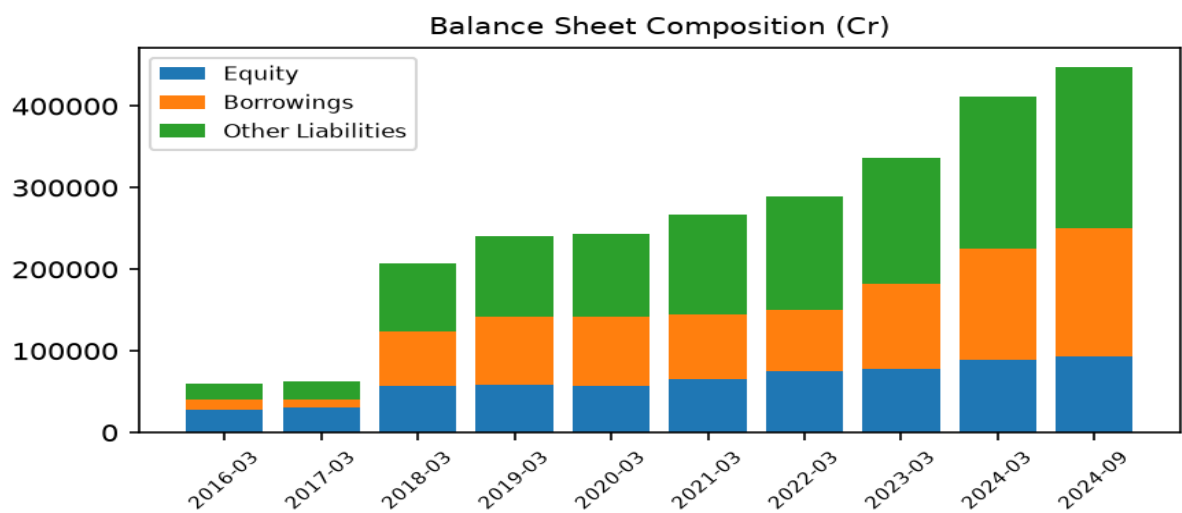
Revenue & Net Profit (10yr)



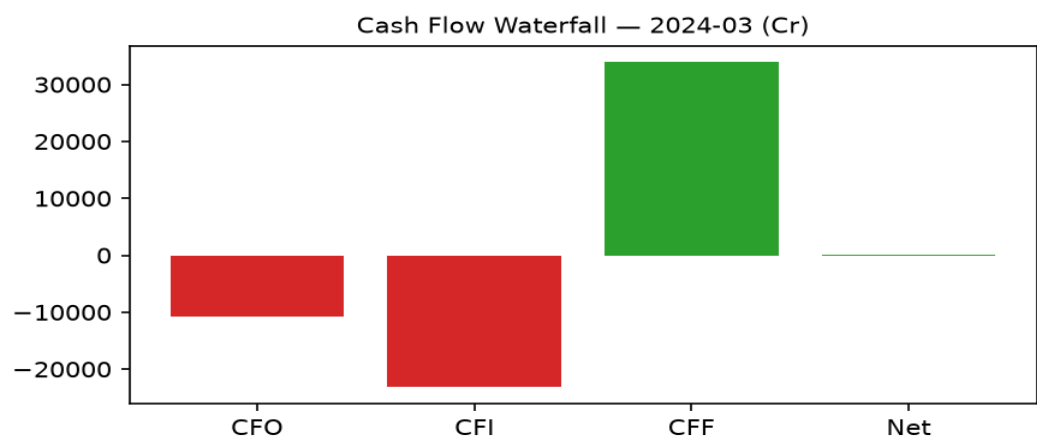
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt